Introduction

This project investigates the relationship between Bitcoin market sentiment and trader performance on Hyperliquid.

Datasets

- Bitcoin Fear & Greed Index
- Hyperliquid Historical Trader Data

Methodology

- Cleaned both datasets.
- Converted timestamps into dates.
- Merged trades with sentiment data.
- Calculated profitability metrics by sentiment.

Findings

1. Market Sentiment Affects Profitability

Sentiment	Trades	Avg Closed PnL
Fear	133,871	50.05
Greed	36,289	87.89
Extreme Greed	6,962	25.42
Neutral	7,141	22.23

Insight:

- Traders achieved the highest average profit during **Greed** periods.
- Profitability dropped significantly during **Extreme Greed**, suggesting possible overconfidence and crowded positions.

2. Most Trading Activity Happens During Fear

Sentiment	Trade Count
Fear	133,871
Greed	36,289
Neutral	7,141
Extreme Greed	6,962

Insight:

- Nearly two-thirds of all trades occurred during Fear periods.
- Traders appear to be most active when markets are uncertain.

3. Win Rate by Sentiment

Sentiment	Win Rate
Extreme Greed	49.0%
Greed	44.6%
Fear	41.5%
Neutral	31.7%

Insight:

- Win rate increases as sentiment becomes more positive.
- Neutral markets produced the lowest success rate.

Overall Performance

- Total realized Closed PnL:
  $10.23 million
- Number of unique traders:
  32

5. Top Performing Traders

Rank	Account	Total PnL
1	0xb123...ed23	$2.04M
2	0x0833...9012	$1.60M
3	0xbaaaf...7864	$940K
4	0xbee17...37aa	$811K
5	0x4acb9...b9f4	$674K

Recommendations

Strategy 1: Prefer High-Conviction Setups During Greed

- Average PnL is highest during Greed.
- Focus on quality trades rather than increasing trade frequency.

Strategy 2: Use Fear as an Opportunity Zone

- Most profitable traders remained active during Fear.
- Fear periods produced the highest total realized profits.

Strategy 3: Reduce Aggression During Extreme Greed

- Profitability drops sharply from Greed to Extreme Greed.
- Indicates possible market exhaustion and overcrowded trades.

Strategy 4: Incorporate Sentiment into Position Sizing

Sentiment	Suggested Risk
Fear	Medium
Greed	High
Extreme Greed	Low
Neutral	Medium-Low

Conclusion

This study analyzed over **211,000 Hyperliquid trades** alongside the Bitcoin Fear & Greed Index to investigate the relationship between market sentiment and trader performance.

The results demonstrate a clear connection between sentiment and trading outcomes. **Greed periods generated the highest average profits**, while **Fear periods accounted for the majority of trading activity and substantial overall profitability**. Although **Extreme Greed produced the highest win rate**, profitability declined significantly, suggesting diminishing returns from excessive market optimism. Neutral markets exhibited the weakest performance across key metrics.

Overall, the findings indicate that market sentiment is a valuable contextual indicator for understanding trader behaviour and improving decision-making. Incorporating sentiment analysis into trading strategies may help traders optimize risk management, identify favourable market conditions, and avoid periods where performance tends to deteriorate.